

# European service-hub expansion | board decision

Meridian Parts • 2025 shipped-sale base • returns known through 31 January 2026 • 27 September 2026  
source-room archive

## Recommendation

**Authorize a staged Spain (ESP) then Czechia (CZE) program, capped at €225,000 of year-zero capex and five FTE.** Start ESP first; release the €95,000 CZE commitment only at a day-90 gate. In the client's base assumption, the pair adds **€198,099 per year after recurring fixed costs** and has **1.14-year simple payback**. The joint return/FX stress leaves only €32,180 per year, a 6.99-year payback, so the second commitment must be conditional. [S1–S5]

At the gate, update the CZE model from actual return credits, restocking, local-currency exposure and signed operating costs. Release CZE only if annualized incremental contribution exceeds €47,500 (under two-year simple payback), service capacity is validated and no persistent joint stress is evident. Otherwise operate ESP alone and defer CZE. This threshold is a board decision rule, not a statistical confidence bound.

## What the 2025 records show

Across six markets, 1,254 eligible shipped orders (77,436 units) generated €4,464,622.33 gross sales, €80,830.57 refunds and €4,383,791.76 net sales. After €2,246,919.00 net COGS and €106,862.28 actual fulfillment cost, contribution was **€2,030,010.48**. Returned units were 1,081, of which 481 were restocked. This is a shipment-cohort contribution view; it excludes hub fixed cost, capex, financing, tax and working capital. [S1–S4]

| Market | Orders | Units  | Net sales | Contribution | Margin | Returned units |
|--------|--------|--------|-----------|--------------|--------|----------------|
| DEU    | 209    | 12,153 | €625,792  | €262,366     | 41.9%  | 73             |
| FRA    | 209    | 11,880 | €632,231  | €276,271     | 43.7%  | 144            |
| NLD    | 209    | 12,576 | €697,733  | €315,644     | 45.2%  | 144            |
| POL    | 209    | 13,163 | €761,890  | €356,494     | 46.8%  | 180            |
| CZE    | 209    | 13,733 | €815,307  | €397,335     | 48.7%  | 288            |
| ESP    | 209    | 13,931 | €850,839  | €421,900     | 49.6%  | 252            |

ESP and CZE have the highest 2025 contribution (€421,900 and €397,335) and margins (49.6% and 48.7%) in this synthetic export. This describes the existing sales mix and fulfillment economics; it does not establish that local hubs cause volume growth. Monthly detail and all per-order conversions are in the workbook and order audit. [S2–S4]

## Reconciliation and accounting controls

The two order pages and correction file contain 1,328 rows: 1,297 distinct IDs, 13 identical repeats and 18 superseded revisions. After selecting each ID's highest revision, 24 cancelled, 18 test and one 2026 shipment are excluded; 1,254 orders remain, including 12 valid zero-price shipments. All 24 blank raw shipment dates belong to cancelled records. The returns file has 264 rows, 20 identical repeats and one superseded revision; one 1 February return and one orphan ID are quarantined, leaving 241 eligible return IDs. All six annual columns reconcile to monthly rows; no eligible shipment date, return field, effective cost or World Bank value is missing. [S1–S4]

Gross sales are booked shipment values net of discounts, excluding tax. A refund is an explicit later credit linked to that shipment, assigned to its original sale month; booked net sales therefore differ from contemporaneous cash receipts or collections. Contribution subtracts net product COGS and nonrefundable fulfillment; cost is recovered only on physically restocked units. Both sales and refunds use the original sale-month ECB mean quote, local currency per EUR; components are rounded per order half-up before aggregation. The rates are an analytical translation proxy, not realized settlement rates. [S1, S4, S6]

## Market context: scale and currency, not demand proof

| Market | 2022 pop m | 2024 pop m | Pop change | 2024 GDP/head current US\$ |
|--------|------------|------------|------------|----------------------------|
| DEU    | 83.18      | 83.52      | 0.41%      | \$56,104                   |
| FRA    | 68.18      | 68.55      | 0.54%      | \$46,103                   |
| NLD    | 17.70      | 17.99      | 1.65%      | \$67,465                   |
| POL    | 36.82      | 36.56      | -0.71%     | \$25,104                   |
| CZE    | 10.67      | 10.91      | 2.18%      | \$31,828                   |
| ESP    | 47.79      | 48.85      | 2.22%      | \$35,327                   |

The archived World Bank responses cover 2022–2024, with response last updated 13 July 2026 and archive retrieval 27 September 2026. Population rose most in ESP (+2.22%) and fell in POL (–0.71%); 2024 GDP per capita ranged from \$25,104 in POL to \$67,465 in NLD. Current-dollar GDP per capita is affected by prices and exchange rates and is not a product-demand measure. The archived ECB 2025 monthly PLN and CZK means are in the workbook; original quotes are never inverted. [S6–S8]

## Investment case

Feasible alternatives are constrained to at most two hubs, €450,000 capex and seven FTE; no pair synergy is assumed.

### Comparable scenario economics

| Option  | Low €/yr | Base €/yr | High €/yr | Stress €/yr | Capex    | FTE | Payback yr |
|---------|----------|-----------|-----------|-------------|----------|-----|------------|
| CZE+ESP | €64,619  | €198,099  | €331,580  | €32,180     | €225,000 | 5   | 1.14       |
| POL+ESP | €58,562  | €186,329  | €314,096  | €29,264     | €240,000 | 6   | 1.29       |
| NLD+ESP | €43,994  | €166,931  | €289,869  | €107,630    | €270,000 | 6   | 1.62       |
| POL+CZE | €56,856  | €178,995  | €301,134  | €-78,570    | €205,000 | 5   | 1.15       |
| ESP     | €33,162  | €102,716  | €172,270  | €70,007     | €130,000 | 3   | 1.27       |
| CZE     | €31,457  | €95,383   | €159,309  | €-37,827    | €95,000  | 2   | 1.00       |
| DEFER   | €0       | €0        | €0        | €0          | €0       | 0   | —          |

Low/base/high assume 10%/25%/40% volume uplift. For each market, annual incremental contribution is baseline contribution × uplift + uplifted units × per-unit saving – annual fixed cost. Stress keeps 25% uplift, adds refunds of 3% of gross sales without COGS recovery, and for PLN/CZK deducts 10% of net sales as a depreciation proxy before comparing with the unchanged baseline. Year-zero capex is excluded from annual contribution. These are client assumptions, not forecasts or causal hub effects. [S5]

The highest base alternative is POL+ESP at €186,329/year, €240,000 capex, six FTE and 1.29-year payback. CZE+ESP is €11,770/year higher with €15,000 less capex and one fewer FTE, and also leads POL+ESP in low, high and stress cases. NLD+ESP has the strongest joint-stress result (€107,630/year) but a €31,168 lower base outcome, €45,000 more capex and one more FTE than CZE+ESP. ESP alone is the lower-commitment alternative: €102,716/year base, €70,007/year stress and €130,000 capex. Under persistent stress, CZE contributes –€37,827/year; defer it and reassess NLD as a second hub. With a 3% gross-sales refund shock, a CZE FX deduction above 1.63% of net sales fails the two-year payback gate; above 6.29% makes its annual increment negative. These are model thresholds, not predicted exchange moves. [S4–S5]

# Execution and control

## 90-day staged execution

| Days  | Owner                    | Actions / dependencies                                                                                                                                    | Decision gate                                                                                                       |
|-------|--------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------|
| 0–30  | COO + finance            | Confirm ESP site/service footprint, lease/3PL terms, SKU capacity and capex; validate shipment, return and FX mappings against invoices.                  | Gate 1: signed cost envelope ≤€130k capex, three FTE plan, data sign-off.                                           |
| 31–60 | ESP operations lead + IT | Configure inventory, scan-to-ship and returns workflow; train team; run parallel order routing and daily reconciliation.                                  | Gate 2: test orders reconcile; dispatch and returns controls pass.                                                  |
| 61–90 | COO + FP&A; + CZE lead   | Pilot ESP with controlled routing; collect service, unit savings, returns and quality evidence; hold a cancellable CZE option and screen NLD as fallback. | Gate 3: ESP pilot KPI review; release CZE only if updated CZE annual increment >€47.5k and capacity/FX checks pass. |

## KPI plan and risks

Measure weekly by country and shipment cohort: on-time local delivery, median order-to-delivery hours, eligible units routed through each hub, actual fulfillment €/unit versus 2025 baseline, gross-to-net refund rate, returned and restocked units, inventory fill rate and 30-day contribution per shipped order. Use the first 30 pilot days to establish a clean pre/post service baseline; FP&A; recalculates monthly annualized incremental contribution from observed volumes and signed fixed costs. Review at days 30, 60 and 90, then monthly for two quarters. Targets for the gate: ≥95% on-time dispatch, ≥98% inventory accuracy, no deterioration in refund rate versus the corresponding 2025 cohort, and CZE modeled payback <2 years. Service targets are management thresholds, not source-room observations.

Key risks are volume uplift failing to materialize, local-currency depreciation, higher refunds with poor restocking, inventory duplication, labor/site cost creep and service disruption during routing. Mitigations are capped contracts, ESP-first controlled rollout, weekly cohort tracking and a cancellable CZE option. The source room has no direct delivery-time, capacity, customer willingness-to-pay or realized FX data, so the case cannot quantify service causality or a discounted NPV. [S1–S8]

# Scenario and evidence appendix

## All feasible configurations: base-case ranking

| Configuration | Base €/yr | Stress €/yr | Capex    | FTE | Base payback yr |
|---------------|-----------|-------------|----------|-----|-----------------|
| CZE+ESP       | €198,099  | €32,180     | €225,000 | 5   | 1.14            |
| POL+ESP       | €186,329  | €29,264     | €240,000 | 6   | 1.29            |
| POL+CZE       | €178,995  | €-78,570    | €205,000 | 5   | 1.15            |
| NLD+ESP       | €166,931  | €107,630    | €270,000 | 6   | 1.62            |
| NLD+CZE       | €159,598  | €-203       | €235,000 | 5   | 1.47            |
| NLD+POL       | €147,828  | €-3,119     | €250,000 | 6   | 1.69            |
| FRA+ESP       | €129,849  | €73,105     | €340,000 | 7   | 2.62            |
| FRA+CZE       | €122,516  | €-34,729    | €305,000 | 6   | 2.49            |
| FRA+POL       | €110,745  | €-37,645    | €320,000 | 7   | 2.89            |
| DEU+CZE       | €105,472  | €-51,410    | €375,000 | 7   | 3.56            |
| ESP           | €102,716  | €70,007     | €130,000 | 3   | 1.27            |
| CZE           | €95,383   | €-37,827    | €95,000  | 2   | 1.00            |
| FRA+NLD       | €91,348   | €40,721     | €350,000 | 7   | 3.83            |
| POL           | €83,612   | €-40,743    | €110,000 | 3   | 1.32            |
| NLD           | €64,215   | €37,623     | €140,000 | 3   | 2.18            |
| FRA           | €27,133   | €3,098      | €210,000 | 4   | 7.74            |
| DEU           | €10,089   | €-13,583    | €280,000 | 5   | 27.75           |
| DEFER         | €0        | €0          | €0       | 0   | —               |

## Evidence register

[S1] [evidence/raw/data-dictionary.md](#) — synthetic accounting rules.

[S2] [evidence/raw/orders-part1.csv](#), [orders-part2.csv](#), [order-corrections.csv](#) — synthetic order exports and revisions.

[S3] [evidence/raw/returns.csv](#) and [unit-costs.csv](#) — synthetic return credits, restocking and costs.

[S4] [deliverables/order\\_audit.csv](#), [monthly.csv](#), [countries.csv](#); generated from saved raw files by [scripts/analyze.py](#).

[S5] [evidence/raw/hub-options.csv](#) and [scenario-policy.md](#) — synthetic board assumptions.

[S6] [evidence/raw/ecb-history.csv/.zip](#) — archived ECB reference rates; [original ECB archive](#).

[S7] [evidence/raw/population.json](#) — archived World Bank SP.POP.TOTL; [original World Bank endpoint](#).

[S8] [evidence/raw/gdp-per-capita.json](#) — archived World Bank NY.GDP.PCAP.CD; [original World Bank endpoint](#).

The full source register records source-room collection time, original public URL, archived retrieval vintage, SHA-256, units, period and synthetic/public status. All figures can be rebuilt using [README.md](#). The archive may contain later revisions of historical 2022–2024 indicators.